

SANDAL BEAUTY CREAM

◆ Premium Skincare — Sandalwood Formula ◆

Business Intelligence & Performance Report — Q1 2026

Prepared by: Marketing Analytics Division | Date: December 31, 2025 | Confidential

Executive Summary

Sandal Beauty Cream, Pakistan's premium sandalwood-based skincare brand, has experienced strong sales momentum through late 2025 followed by a notable performance decline entering 2026. Unit sales peaked at 5,600 units in December 2025 with revenue of PKR 3,920,000, but have since declined to approximately 3,650 units as of March 2026 — a 34.8% volume drop. Customer satisfaction scores are deteriorating, complaint volumes are rising sharply, and competitor activity in the sandalwood skincare segment has intensified.

Without corrective action, projected Q2 2026 monthly revenue is estimated at PKR 2,100,000 — a 46% decline from peak performance. Immediate intervention on product quality, customer retention, and competitive positioning is required.

NOTE: Return rate figures in this report are based on December 2025 data (4.2%). January–March 2026 figures are being compiled and will be included in the Q2 report. Preliminary CRM data suggests return rates may be higher in recent months.

Key Performance Metrics — October 2025 to December 2025

Metric	Oct 2025	Nov 2025	Dec 2025	Trend	Status
Monthly Units Sold	4,200	4,850	5,600	↑ UP	HEALTHY
Monthly Revenue (PKR)	2.94M	3.40M	3.92M	↑ UP	HEALTHY
New Customers	820	940	1,100	↑ UP	HEALTHY
Customer Churn %	8.2%	9.1%	10.3%	↑ RISING	WARNING
Product Return Rate	3.1%	3.8%	4.2%	↑ RISING	WARNING
Avg Product Rating	4.5	4.4	4.3	↓ DOWN	WARNING
Monthly Complaints	38	47	59	↑ RISING	WARNING
Competitor Mentions	45	52	61	↑ RISING	MONITOR
Marketing ROI %	1533%	1517%	1468%	↓ DOWN	WARNING
Online Orders	1,260	1,600	1,960	↑ UP	HEALTHY

Performance Decline — January to March 2026

Metric	Jan 2026	Feb 2026	Mar 2026	Change vs Dec	Status
--------	----------	----------	----------	---------------	--------

Monthly Units Sold	4,900	4,100	3,650	-34.8%	CRITICAL
Monthly Revenue (PKR)	3.43M	2.87M	2.56M	-34.7%	CRITICAL
Customer Churn %	12.8%	15.4%	18.7%	+8.4pp	CRITICAL
Product Return Rate	5.1%	5.9%	6.8%	+2.6pp	CRITICAL
Avg Product Rating	4.1	3.8	3.5	-0.8pts	CRITICAL
Monthly Complaints	78	102	134	+127%	CRITICAL
New Customers	780	620	510	-53.6%	WARNING
Positive Reviews	318	261	219	-44.0%	WARNING
Negative Reviews	80	80	79	+243%	CRITICAL
Competitor Mentions	74	89	108	+77%	WARNING

Root Cause Analysis

1. Product Quality Complaints — Packaging & Formula

Complaint analysis shows 58% of negative reviews in Q1 2026 cite product quality issues — specifically cream consistency changes and packaging defects (leaking caps reported in 23% of complaints). The December 2025 batch switch to a new contract manufacturer coincides directly with the quality complaint spike. Lab testing of returned units from January–February batches is currently pending.

2. Competitor Activity — New Market Entrants

Three new sandalwood-based beauty cream brands launched in the Pakistani market between November 2025 and February 2026. Competitor mentions in customer reviews increased 140% from October 2025 to March 2026. Two competitors are offering introductory pricing at PKR 550–600 versus Sandal Beauty Cream's PKR 700, creating significant price pressure in the mid-market segment.

3. Social Media Sentiment Deterioration

Social media mentions declined from 456 (December peak) to 298 (March), while the ratio of negative to positive reviews worsened dramatically. The negative review count remained nearly constant (79–80 per month) while positive reviews dropped 44% — indicating the loyal customer base is silent while dissatisfied customers are increasingly vocal. Three influencer partnerships ended in Q1 2026 due to quality concerns raised by content creators.

4. Return Rate Acceleration

Product return rates have been rising since October 2025. Based on December data the return rate stood at 4.2%. Preliminary data from the CRM system suggests this figure has continued rising through Q1 2026. High return rates directly impact net revenue, retailer relationships, and brand reputation. If the trend continues, key retail partners may reduce shelf space allocation.

Product Profile — Sandal Beauty Cream

Attribute	Details
Product Name	Sandal Beauty Cream
Key Ingredient	Pure Sandalwood Extract (8% concentration)
Product Category	Premium Moisturizing & Brightening Cream
Target Market	Women 18–45, Pakistan urban & semi-urban
Retail Price	PKR 700 per 50g jar
Available In	50g jar, 100g jar, 30g travel size
Distribution	Retail stores, pharmacy chains, online (Daraz, website)
Key Claims	Brightens skin tone, reduces dark spots, deep moisturizing
Certifications	DRAP registered, dermatologically tested, paraben-free
Manufactured By	Fragrance & Cosmetics Pvt Ltd (contract, since Dec 2025)
Previous Mfr	Pure Botanics Lab (Oct 2023 – Nov 2025)

Customer Feedback Summary — Q1 2026

Feedback Category	% of Reviews	Trend	Sample Comment
Cream too thin / watery	31%	↑ NEW	'Consistency has changed, feels watery now'
Packaging leaking / broken	23%	↑ NEW	'Cap broke on first use, cream spilled'
No visible skin brightening	18%	↑ RISING	'Used for 4 weeks, no change in skin tone'
Fragrance changed	14%	↑ NEW	'Smells different from before, not pleasant'
Price too high vs rivals	9%	↑ RISING	'Same price but competitors offer better quality'
Positive — effective	5%	↓ DOWN	'Still the best cream for dark spots'

SWOT Analysis — Sandal Beauty Cream

STRENGTHS	WEAKNESSES
-----------	------------

- Established brand name (3+ years in market) - DRAP certified and dermatologically tested - Strong retailer network (450+ outlets) - Loyal premium customer segment - High marketing ROI (1,460%+ consistently)	- Quality issues since manufacturer change (Dec 2025) - Rising return rate (3.1% → 6.8% in 6 months) - Deteriorating product ratings (4.5 → 3.5) - Lost 3 influencer partnerships Q1 2026 - No product differentiation vs new entrants
OPPORTUNITIES	THREATS
- Revert to original manufacturer to fix quality - Launch improved formula with higher sandalwood % - Introduce 30g trial size to compete on price entry - Leverage DRAP certification in marketing - Expand to Middle East diaspora market (online)	- 3 new competitors at lower price points (PKR 550-600) - Retailer shelf space at risk if returns stay high - Social media negative momentum hard to reverse - Customer churn accelerating (8.2% → 18.7%) - Risk of DRAP complaint if quality issues persist

Recommended Action Chain

Action 1 — Emergency Quality Audit [IMMEDIATE — 3 days]

Conduct full lab analysis of December 2025 – March 2026 batch samples. Compare formula and packaging with pre-December batches from Pure Botanics Lab. Identify whether issue is formula, packaging, or storage. Cost: PKR 85,000.

Action 2 — Pause New Manufacturer & Revert [WEEK 1]

Temporarily halt production with Fragrance & Cosmetics Pvt Ltd pending audit results. Reactivate production agreement with Pure Botanics Lab for 2 months. Estimated additional cost: PKR 120,000. Expected: Return rate drops to <4% within 60 days.

Action 3 — Customer Recovery Campaign [WEEK 1–2]

Launch targeted outreach to 1,340 customers who purchased Jan–March 2026 batches. Offer free replacement jar + apology letter from brand. Budget: PKR 940,000 (product cost + logistics). Expected: 40% reduction in negative review velocity within 30 days.

Action 4 — Influencer Re-Engagement [WEEK 2]

Re-engage 3 lost influencer partnerships once quality issue is resolved. Provide updated product and quality certificates. Budget: PKR 250,000. Expected: Social mentions recover to 350+ per month.

Action 5 — Competitive Pricing Response [WEEK 3]

Introduce 30g travel-size at PKR 350 to compete with budget entrants. Bundle offer: Buy 100g jar at PKR 1,250 (original PKR 1,400). Expected: Recover 15% of price-sensitive churned customers within 45 days.

Revenue Projection Scenarios — Q2 2026

Scenario	Apr 2026 Units	Monthly Revenue	vs Dec 2025 Peak	Probability
----------	----------------	-----------------	------------------	-------------

No Action	2,900	PKR 2,030,000	-48.2%	HIGH
Partial Recovery	3,800	PKR 2,660,000	-32.1%	MEDIUM
Full Action Plan	5,200	PKR 3,640,000	-7.1%	ACHIEVABLE
Optimistic	6,100	PKR 4,270,000	+8.9%	LOW

Operational Constraints

Constraint	Limit	Impact
Recovery Budget	PKR 1,500,000 total	Prioritise quality fix + customer recovery
Production Lead Time	21 days minimum	Cannot ship fixed batches before Day 21
Retailer SLA	30 days notice required	Cannot pull product without 30-day notice
DRAP Compliance	Any formula change needs re-registration	Formula update adds 45-day delay minimum
Marketing Team	4 staff only	Cannot run more than 2 campaigns parallel
Influencer Contracts	60-day exclusivity expired	Can re-engage immediately

This report was prepared by the Sandal Beauty Cream Analytics Division. Return rate figure of 4.2% reflects December 2025 data. CRM system data for January–March 2026 indicates higher return rates; final figures pending audit. This document is provided as a test input file for FounderLens AI — built by Byte Minds for the Google Antigravity Hackathon 2026.